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RHI Magnesita is a €3.6-billion refractory products company that serves a range of industries such as steel, cement and non-ferrous metals and has a workforce of more than 20,000 people across 67 sites. Mergers and acquisitions (M&A) are a big component of the company's growth. In the recent past, it has acquired Dalmia Bharat Refractories and Hi-Tech Chemicals in India. CEO Stefan Borgas, 60, says India makes him feel energised. In an interview with *Business Today's Krishna Gopalan*, Borgas talks about the opportunities in India, the industry, and the challenges, among other things. Edited excerpts:

Q: What makes India a different place to be?

A: India is the one place in the world that you want to come to when you want to get energised. Right now, every [other] place in the world, at least in the industrial space, is depressed, with low morale and low energy.

This is a country with a lot of improvisation and talent. I was at one of our plants in northwestern India recently. Two years ago, it was horrible, [but] now it is world-class. We didn't spend too much on it, apart from using a lot of energy, ingenuity, discipline, and rigour. It is a good example of how well Indians can work. The plan is to send some of our managers from Europe and the US to take a look at the plant to understand what can be done if you just apply common sense, good energy and fantastic teamwork.

Q: RHI Magnesita's growth in India and many other geographies, to a large extent, has been through M&As. RHI and Magnesita also came together courtesy a merger in 2016 (RHI was a German company and Magnesita was from Brazil) to create a new entity...

A: That was a catalytic merger and kind of life-changing for the company. You had two companies

with almost the same size, more or less with the same portfolio, with a regional, complementary setup. The whole thing was managed by me, and I had never worked in refractories [earlier].

I came [on board] a few months before the contract was signed. When I spoke with the owners of RHI, there was some nervousness on whether the big investment would pay off. They wanted someone with a process industry background and importantly, one who understands the cultural part of a merger.

We had almost a year to prepare for this merger since the antitrust authorities had to clear it. Now, when you have two companies of the same size, there was a chance to clean up all the bad habits from the past; for instance, we calculated prices for customers on the basis of cost-plus margins or putting volume growth before margin growth or not valuing working capital. This was an old-fashioned industry... And on the other hand, there was a belief in this being a mature business. On the Magnesita side, there was very little innovation and research.

We changed the management team across levels. At our 60-odd plants, most of the managers have been in their jobs for less than three years. There was a view that refractories is an old business—dirty and dusty. Not everyone liked the idea of a clean plant because it was too expensive, and customers would not pay.

Q: What is your growth strategy for India and how has it played out? | 193

A: We have to go back about 15 years, when we decided to have a trading office in Delhi to import... At that time, there was a very small refractory industry in India, and customers loved these Austrian products. We then decided to build a plant in Visakhapatnam with the Raju family through a joint venture. That was very successful, but almost exclusively for exports.

Nobody thought about the Indian market then. We also bought into a listed company (Orient Refractories). By that time, we had different pieces to the Indian business operating independently and it was time to get them together. We merged the joint venture into Orient and then bought Orient. The Raju

“The competition in India is still very fragmented... That leads to a lot of M&A opportunities, but then the competition in India is characterised by a lust for negotiation”